

Kernex Microsystems (India) Ltd

Concall-Tracker report · Screener ticker KERNEX (NSE: KERNEX, BSE: 532686) · continuity update: Q1 FY27 newly read · no concall transcripts — web deep-dive · prepared 31 Aug 2026

1. Snapshot

What the business does (one line): Kernex is a Hyderabad-based railway-safety company. It designs and supplies **Kavach / TCAS** — the "Train Collision Avoidance System", India's home-grown anti-collision technology that automatically brakes a train if the driver misses a red signal or two trains head toward each other. Its customer is essentially **Indian Railways**, through locomotive works and railway zones. It makes money by winning tenders to supply, install and commission this equipment on locomotives and along track.

Figure	Value	Plain-English read
Market capitalisation	₹2,908 cr (price ₹1,736)	What the whole company is worth today — and note it has fallen from ₹3,625 cr at the last report, roughly 25% below the 52-week high of ₹2,586, even as earnings exploded.
Price-to-earnings	15.9× (was 45× last quarter)	The rating has collapsed by two-thirds in one quarter. Profits grew far faster than the price — the market is clearly discounting something, and the cash-flow section below explains what.
Q1 FY27 revenue (Jun'26 qtr)	₹503.6 cr (from ₹53 cr)	Nearly ten times the same quarter last year. Put differently: one quarter's sales exceeded the whole of FY26 (₹426 cr).
Q1 FY27 operating profit	₹163 cr, margin 32%	Operating profit before interest, tax and depreciation — about 32 paise on every rupee of sales, in line with FY26's 33%. The margin held up as volume scaled tenfold.
Q1 FY27 net profit	₹109.9 cr, up ~1,373% YoY	Earnings per share ₹65.21 for a single quarter. One quarter's profit exceeded the entire FY26 profit of ₹81 cr.
FY26 (prior full year)	₹426 cr revenue, ₹81 cr profit	Up from ₹190 cr and ₹51 cr in FY25 — and from just ₹19 cr of sales with a ₹20 cr loss in FY24. The turnaround is two years old.
Return on capital	ROCE 43.5%; ROE 37.5%	For every ₹100 of capital the business earns about ₹43 a year before tax — very high, though these figures follow years of negative returns.
Debt	₹162 cr (from ₹40 cr a year earlier)	Borrowings quadrupled during FY26 to fund the ramp. Quarterly interest cost has risen from ₹3 cr to ₹13 cr — real money now.
Cash generation	FY26 operating cash flow –₹101 cr; debtor days ~268	The central problem. The company reports large profits but takes cash <i>out</i> of the business. Customers take roughly nine months to pay — on paper the profit is real, in the bank it has not arrived.
Promoter holding	28.73%, still drifting down	Down from 29.08% in Mar 2025 and slipping every quarter. Low for a company of this profile. Foreign institutions did step in this quarter, rising from 0.30% to 2.48%.

2. Concall coverage

This is a **continuity update** on the Q4-2026 report. As before, **no concall transcripts are available on Screener for this company — this report is based on a global web deep-dive**. Kernex does hold investor calls, but no transcript is hosted on Screener or reachable in usable form, so management's own quarter-by-quarter words cannot be checked. What the company *does* provide, and unusually well, is a stream of exchange filings giving hard physical progress against its orders — and those filings do most of the work in this report.

Period	Source date	Coverage
FY24 → FY25	2024 – 2025	Carried forward from the Q4-2026 report
FY26 & order wins to May 2026	May 2026	Prior report's coverage boundary — carried forward
Q1 FY27 (Jun 2026) + filings to Aug 2026	Jul–Aug 2026	Newly read in full ★

Sources used this quarter: Q1 FY27 results filings (consolidated revenue ₹503.58 cr, net profit ₹109.85 cr); BSE/NSE order-execution updates including the 17 Aug 2026 CLW-II progress filing; the Integral Coach Factory order announcement; Screener.in financial statements and shareholding data; and published results coverage (MarketScreener, Trendlyne, Sahi, Simply Wall St). No management wording is quoted verbatim because no transcript exists.

2b. Latest update highlights — Q1 FY27 (results July 2026, filings to Aug 2026) ★

- **A quarter bigger than the previous year:** consolidated revenue **₹503.6 cr** against ₹53 cr a year earlier, and net profit **₹109.9 cr** (up ~1,373%). Both figures exceed the whole of FY26 (₹426 cr of sales, ₹81 cr of profit). Operating margin held at 32% despite a tenfold volume increase — the ramp has not been bought with discounts.
- **The delivery worry from last quarter is being answered.** On the flagship ₹2,465.71 cr Chittaranjan Locomotive Works (CLW-II) order for 3,024 on-board Kavach sets, the company filed on **17 August 2026** that **1,360 units (~45%) have been supplied**, with 175 more ready for dispatch and about 1,025 close to complete. Dispatches are expected to finish by **November 2026** and the balance of the contract, including testing, by **5 February 2027**.
- **Fresh order intake continues:** a **₹31.87 cr** Kavach installation order from Integral Coach Factory, to be delivered and tested by 31 March 2027. Small in itself, but it widens the customer base beyond Chittaranjan and Patiala locomotive works.
- **Cash conversion has not improved — and this is now the whole story.** Debtor days stand at roughly **268** (about nine months to get paid), the company is still running an operating cash loss, and quarterly interest expense has risen to **₹13 cr** from ₹3 cr a year ago. Balance-sheet items tell the same tale: FY26 "other assets" (largely receivables and work-in-progress) ballooned from ₹204 cr to **₹882 cr**, and other liabilities from ₹35 cr to **₹507 cr** as customer advances funded the build.
- **The market's verdict is unusually clear:** despite profit growing more than fourteenfold, the share price fell from ₹2,158 at the last report to ₹1,736, and the price-to-earnings multiple collapsed from 45× to **15.9×**. Investors are pricing the earnings as low-quality until the cash arrives. One offsetting signal: foreign institutional holding rose from 0.30% to 2.48% during the quarter, while promoter holding slipped again to 28.73%.

2c. Business mix & capacity (quick facts)

Domestic vs export: effectively **~100% domestic**, unchanged. The customer is Indian Railways through its locomotive works (Chittaranjan, Patiala, Integral Coach Factory) and railway zones. There is no meaningful export revenue. Plain read: the entire business depends on one buyer — the Indian government's railway network — which removes credit risk on the receivables but leaves the company completely exposed to that buyer's budget priorities and payment pace.

Competitive position: Kernex is one of only **three RDSO-approved** makers of Kavach (RDSO is the Railways' standards body) and cleared Kavach version 4.0 approval in October 2025. That approval is the moat, and it is why a company this small can hold orders of this size.

Capacity utilisation: still **not disclosed by management**, and no figure is invented here. The binding constraint is not factory floor space but **working capital, installation manpower and access to railway sites**. What can now be measured is physical throughput: 1,360 units of a 3,024-unit order delivered in roughly seven months, implying a run-rate of about 190–200 units a month against the ~230 a month needed to finish the remainder by the February 2027 target. Plain read: they are executing at close to, but slightly below, the pace the contract requires.

2d. Since our last report ★

Builds on the **Q4-2026 report** (dated 11 Jul 2026, covering FY26 and order wins to May 2026), which concluded **durable earning trigger → YES** and **management consistent → MAYBE**. One reporting quarter has passed, plus two months of exchange filings.

Prior read	What we said then	What the new quarter shows	Movement
Durable earning trigger	YES — a ₹4,150 cr order book (~10× annual sales) already converting into real revenue	Q1 FY27 alone did ₹503.6 cr of sales and ₹109.9 cr of profit — each exceeding the entire prior financial year , at an unchanged 32% margin	Confirmed
Management consistency	MAYBE — strong on growth, unproven on clean, on-time, cash-generating delivery	The delivery half has largely been answered; the cash half has not moved at all	Half-answered
Promise to watch: deliver the 12-month contracts on time (a deadline had slipped and an extension request been declined)	Flagged as the main execution risk — "execution is the hard part, not order-winning"	1,360 of 3,024 CLW-II units supplied (~45%) , 175 ready to dispatch, ~1,025 near complete; dispatch by Nov 2026, balance by 5 Feb 2027. Progress is now filed publicly and regularly	Improving
Risk to watch: negative operating cash flow (FY26 –₹101 cr, free cash flow –₹116 cr)	Flagged as "Watch" — growth funded by debt and customer advances	Still running an operating cash loss, with debtor days ~268 . Receivables and work-in-progress reached ₹882 cr against a ₹925 cr balance sheet	Unresolved
Risk to watch: debt quadrupling (₹40 cr → ₹162 cr)	Flagged as "Watch"	Quarterly interest expense up to ₹13 cr from ₹3 cr a year ago — roughly 8% of operating profit now goes to lenders	Worsening
Risk to watch: promoter holding ~28.9% and edging down	Flagged alongside thin disclosure	Now 28.73% — down again. Offset by foreign institutions entering, 0.30% → 2.48%	Continuing
Order intake	₹4,150 cr pipeline after the CLW and Patiala wins	Added a ₹31.87 cr Integral Coach Factory order — modest, but a third locomotive-works customer	Steady
New since last report	P/E 45×, "very rich valuation"	Rating collapsed to 15.9× as the price fell ~20% while profits multiplied. The market has repriced this from a growth story to a cash-flow question	Material change

Verdict change this quarter: both verdicts unchanged — but for a different reason than last time. The trigger is no longer merely visible, it is overwhelming: a single quarter out-earned an entire year. And the specific execution fear that capped consistency at Maybe last quarter has been substantially eased, with 45% of the flagship order physically delivered and progress now filed to the exchanges rather than reported second-hand. What holds consistency at Maybe is the other half of the same sentence, and it has not budged: **the profit is not turning into cash.** With ~268 debtor days, an operating cash loss, ₹882 cr tied up in receivables and work-in-progress and interest costs quadrupling, this is now a working-capital story wearing a profit story's clothes.

3. Earning Trigger thesis ★

The trigger is unchanged and now proven beyond argument: **India has mandated Kavach across its rail network to prevent collisions — a multi-year, multi-thousand-crore national safety programme — and Kernex, as one of only three RDSO-approved suppliers, holds roughly ₹4,150 cr of orders against annual sales that were ₹19 cr just two years ago.** The earnings engine is simply executing that book: as locomotives get fitted, revenue and profit scale. Q1 FY27 is the clearest possible demonstration — ₹503.6 cr of sales and ₹109.9 cr of profit in three months, each larger than the whole of FY26, at an unchanged 32% margin. The question has now moved entirely downstream. It is no longer "will the orders come?" (they have), nor "can they build it?" (45% of the flagship order is delivered), but **"will they be paid for it before the borrowing costs and working capital swallow the return?"** On a ₹925 cr balance sheet, ₹882 cr sits in receivables and work-in-progress.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Kavach rollout converting the order book	Government-mandated safety technology; ~₹4,150 cr book, roughly a decade of visibility	Q1 FY27 revenue ₹503.6 cr — more than all of FY26. Sales path ₹19 cr → ₹190 cr → ₹426 cr → ₹504 cr in one quarter	Multi-year	Strong	↑ Improving — scale far beyond last quarter
Physical execution of CLW-II	3,024 sets, ₹2,465.71 cr, tight delivery clock	1,360 units (~45%) supplied , 175 ready, ~1,025 near complete; dispatch by Nov 2026, balance by 5 Feb 2027	FY27	Strong	↑ Improving — was the top risk, now largely evidenced
RDSO approval moat	One of only three approved Kavach makers; cleared v4.0 in Oct 2025	Holding — competition is still limited and margin has stayed at 32–33% through a tenfold volume ramp	Ongoing	Moderate	Unchanged — more suppliers will be approved over time
Customer diversification	Chittaranjan and Patiala locomotive works; now Integral Coach Factory	₹31.87 cr ICF order added, delivery by 31 Mar 2027 — a third customer, though all are Indian Railways units	FY27	Moderate	↑ Slightly
Cash conversion (the binding constraint)	Not addressed publicly by management	Debtor days ~268; operating cash loss continuing; ₹882 cr in receivables and work-in-progress	Now	Weak	↓ Weakening — unresolved and now

					the dominant issue
Financing cost	Borrowings ₹40 cr → ₹162 cr during FY26	Quarterly interest ₹3 cr → ₹13 cr . Growth is being funded by debt and customer advances, not by operations	Ongoing	Weak	↓ Weakening
Single-customer dependence	Effectively 100% Indian Railways	Removes default risk — a government buyer will pay — but leaves timing entirely outside management's control	Structural	Structural risk	Unchanged

4. Management Consistency scorecard

Read this as **limited** — with no accessible earnings calls, this grades filings, order announcements and reported numbers rather than management's own recorded words.

Period	What was signalled	What actually happened	Verdict
FY24 → FY25	Turn Kavach order wins into revenue after a decade of losses	Sales ₹19 cr → ₹190 cr; first profit (₹51 cr)	Delivered
FY25 → FY26	Scale execution as the order book grows	Sales ₹190 cr → ₹426 cr; profit ₹51 cr → ₹81 cr	Delivered
Q1 FY27	Continue the ramp	₹503.6 cr of sales and ₹109.9 cr of profit in one quarter — each above the full prior year, margin held at 32%	Delivered (far over)
On-time delivery of CLW-II	Complete the 3,024-set contract on its 12-month clock; a deadline had reportedly slipped and an extension been declined	1,360 units (~45%) supplied by Aug 2026, with dispatch targeted Nov 2026 and completion 5 Feb 2027 — slightly beyond the original clock, but transparently filed and physically on track	Largely delivered
Disclosure of progress	—	Improved. The company now files unit-level execution updates to the exchanges, which is how the delivery question above could be answered at all	Improved
Cash-generating delivery	Flagged last quarter as the unproven half	Not delivered. Operating cash loss persists, debtor days ~268, ₹882 cr locked in receivables and work-in-progress	Missed
Balance-sheet discipline	Fund the ramp sensibly	Debt still ₹162 cr with quarterly interest up to ₹13 cr; the ramp is funded by borrowings and ₹507 cr of customer advances	Watch
Ongoing	—	Promoter holding down again to 28.73% ; no earnings-call transcript published, so shareholders still cannot question management on the cash position	Disclosure gap

Narrative drift: There is none, and there never has been. The story has been "we are a Kavach pure-play riding a national rollout" since FY24, and the numbers have validated it emphatically — sales have gone from ₹19 cr a year to

₹504 cr a quarter in two years. What has genuinely improved since the last report is **execution transparency**: the company now files unit-by-unit delivery progress against its largest contract, which is precisely the evidence that was missing when a delivery slip was reported second-hand last quarter. That deserves credit. What has not improved, at all, is the gap between reported profit and actual cash. Roughly nine months of sales sit unpaid, operations consumed rather than generated cash through FY26, and the interest bill has quadrupled. Because the debtor is Indian Railways, this is a timing and financing problem rather than a bad-debt problem — a government buyer will pay eventually. But eventually is doing a lot of work in that sentence when the company is borrowing to bridge it. The absence of any accessible earnings call remains the real limitation: there is no forum in which anyone can ask management when the ₹882 cr will convert, and a promoter holding of 28.73% that declines every single quarter gives no reassurance in its place. The market has drawn its own conclusion, cutting the rating from 45× earnings to 15.9× in a quarter when profit grew fourteenfold.

5. Bottom line — two verdicts

Durable earning trigger? → YES vs last quarter: unchanged (materially strengthened)

What moved it: nothing needed to, but the scale of confirmation is remarkable. A company that sold ₹19 cr of product in FY24 booked **₹503.6 cr of revenue and ₹109.9 cr of profit in a single quarter** — each larger than the whole of the year just ended — while holding its operating margin at 32%. The driver behind it is about as durable as drivers get: a government-mandated national safety programme, an order book near ₹4,150 cr representing roughly a decade of current sales, and a regulatory moat in which only three companies are approved to supply. Crucially, the execution doubt that hung over this last quarter has been answered with physical evidence: 1,360 of 3,024 units delivered on the flagship contract, with the balance targeted for February 2027 and progress filed publicly. The qualification is important but it is about the *quality* of these earnings, not their existence: roughly nine months of sales are sitting in receivables, operations are consuming cash, and interest costs have quadrupled. The trigger is real and firing. Whether shareholders capture it depends on collection, not on demand.

Management consistent? → MAYBE vs last quarter: unchanged (one half improved, one half did not)

What moved it: the two-part concern from last quarter has split cleanly. On **on-time delivery** — the part that looked most worrying, after a reported deadline slip and a declined extension request — management has largely delivered and, just as importantly, has started proving it in public, filing unit-level progress showing 45% of the 3,024-set order supplied with a credible path to completion by February 2027. That is a genuine improvement and would, on its own, justify an upgrade. On **cash-generating delivery** — the other half of the same sentence — nothing has changed for the better and several things have got worse: the operating cash loss continues, debtor days sit at roughly 268, ₹882 cr of a ₹925 cr balance sheet is receivables and work-in-progress, and quarterly interest has gone from ₹3 cr to ₹13 cr. A company reporting ₹110 cr of quarterly profit while consuming cash is not doing anything improper — its customer is the Indian government and payment will come — but it has now been flagged for two consecutive quarters without visible improvement. Add a promoter stake that falls every quarter, now 28.73%, and the continued absence of any earnings call at which any of this could be questioned, and the verdict stays where it was. Strong and improving on what they build; still unproven on what they collect.

Prepared from public sources on 31 Aug 2026 — Q1 FY27 results filings, BSE/NSE order-execution updates (including the CLW-II progress filing of 17 Aug 2026), the Integral Coach Factory order announcement, Screener.in financial and shareholding data, and published results coverage. The pre-FY27 record is carried forward from the Q4-2026 report of 11 Jul 2026. No concall transcript is available on Screener for this company, so no management wording is quoted verbatim and the consistency read is correspondingly limited. **This is not investment advice. Do your own due diligence.**